ESG Rating Methodology for Tencent and Alibaba

1. Methodology, innovation and issue selection

This report develops a transparent MSCI-style ESG rating for Tencent and Alibaba. It follows MSCI's public logic on financially material ESG risks but does not reproduce its proprietary model. The key innovation is separating materiality from evidence quality: Financial Materiality (FM) and Business Exposure (BE) determine issue weights, while disclosure quality, performance metrics and controversy control determine company scores. This makes the final score more transparent and auditable.

For Chinese internet platforms, the most financially material risks arise from cloud and data-centre energy use, circular-resource management, privacy and cybersecurity, responsible digital products, platform ethics and board accountability. The issue weight is calculated as: $Weight_i = \frac{(FM_i \times BE_i)}{\Sigma(FM \times BE)}$.

Pillar	Selected issue	FM	BE	Weight	Financial materiality rationale
E	Carbon emissions	4	4	18.39%	Energy cost, regulation and transition risk from cloud, data centres and logistics.
E	Resource efficiency / e-waste	3	4	13.79%	Server, packaging and device life-cycle management affect circularity and cost.
S	Privacy & data security	5	5	28.74%	Users, merchants, payment, advertising and enterprise-cloud data are core assets.
S	Product safety / responsible digital products	4	4	18.39%	Content, minors, accessibility and responsible AI affect platform trust.

G	Business ethics	4	3	13.79%	Antitrust, fraud, AML, IP, supplier conduct and marketplace integrity are material.
G	Board / governance accountability	3	2	6.90%	Board oversight affects ESG strategy, controls, disclosure and accountability.

Scoring rubric

Score range	Interpretation	Evidence required
8.0–10.0	Strong management	Quantified targets, current performance metrics and no major unresolved controversy.
6.0–7.9	Adequate management	Relevant policies and partial metrics, but weaker evidence or material gaps.
Below 6.0	Weak management	Limited disclosure, weak controls or significant unmanaged controversy.

2. Issue analysis and score justification

Carbon emissions: Alibaba 8.3; Tencent 7.7. Alibaba receives the stronger score because its FY2024 evidence links targets, electricity sourcing and cloud efficiency to current performance: it reported a 5.0% reduction in own-operation GHG emissions, clean electricity equal to 39% of total electricity consumption, Alibaba Cloud self-built data-centre PUE improvement from 1.215 to 1.200, and 56% clean electricity for those data centres (Alibaba Group, 2024). Tencent also shows credible progress: its 2024 ESG report presents climate change and carbon neutrality as a dedicated section, renewable electricity increased from 12.4% in 2023 to 22.0% in 2024, and it used T-block high-efficiency data-centre technology, cooling upgrades and AI energy optimisation (Tencent Holdings, 2025).

Resource efficiency / e-waste: Alibaba 8.1; Tencent 6.9. Alibaba has stronger quantified circular-economy evidence: Cainiao reused 47.6 million cardboard boxes and saved about 101,000 tonnes of packaging, while Ele.me allowed users to reject disposable cutlery on more than 1.8 billion orders (Alibaba Group, 2024). Tencent discloses data-centre efficiency and supplier ESG management, but the reviewed evidence is less specific on e-waste recovery, hardware reuse or packaging-reduction outcomes (Tencent Holdings, 2025).

Privacy & data security: Tencent 8.6; Alibaba 7.6. This is the highest-weighted issue because digital trust directly affects regulation, customer retention, advertising, payments and cloud

demand. Tencent has dedicated disclosure on privacy protection, cyber and data security, AI safety governance and "Internet for Trust"; it also reported no cybersecurity or data-breach incidents during 2024 (Tencent Holdings, 2025). Alibaba discusses "Building Trust" and consumer protection, but the reviewed evidence is less explicit on incident outcomes and business-continuity performance (Alibaba Group, 2024).

Product safety / responsible digital products: Tencent 8.4; Alibaba 7.5. Tencent has greater exposure through gaming, social interaction, content and AI tools, but it also provides stronger controls: age-appropriate digital environments for minors, AI safety governance across data, algorithm and operation dimensions, and more than 190 accessible films in 2024 (Tencent Holdings, 2025). Alibaba's inclusion evidence is strong: Taobao and Tmall's OCR function supported more than 260,000 visually impaired users, Amap expanded wheelchair navigation and Youku provided barrier-free content (Alibaba Group, 2024).

Business ethics: Tencent 8.0; Alibaba 7.4. Tencent scores higher because it discloses stronger controls on integrity, fair competition, AML, IP protection, supply chains and AI-assisted risk identification. Alibaba also has trust and platform-governance measures, but faces greater merchant, competition and counterfeit/fraud exposure due to its marketplace scale (Tencent Holdings, 2025; Alibaba Group, 2024).

Board / governance accountability: Tencent 8.0; Alibaba 7.4. Tencent has stronger board-level oversight, with five independent directors out of eight and clearer links between ESG strategy, targets and disclosure. Alibaba discloses ESG governance and around 30% female board representation but provides less explicit evidence on committee-level ESG accountability (Tencent Holdings, 2025; Alibaba Group, 2024).

3. Final score, comparison and sensitivity test

Issue	**Weight**	**Tencent**	**Alibaba**
Carbon emissions	18.39%	7.7	8.3
Resource efficiency / e-waste	13.79%	6.9	8.1
Privacy & data security	28.74%	8.6	7.6
Product safety / responsible digital products	18.39%	8.4	7.5
Business ethics	13.79%	8.0	7.4
Board / governance accountability	6.90%	8.0	7.4
Final ESG score	**100%**	**8.04 / 10**	**7.74 / 10**

Tencent receives a final score of 8.04/10, compared with Alibaba's 7.74/10. The 0.30-point gap is modest, so the result should be read as an issue-level diagnosis rather than proof that one company is categorically "better". Tencent leads because it scores higher in the most heavily weighted issue, privacy and data security, and also performs better in responsible digital products, business ethics and board accountability. Alibaba performs better in environmental execution, especially clean electricity, cloud PUE and packaging/resource efficiency.

Scenario	Weight assumption	Tencent	Alibaba	Interpretation
Base case	FM × BE weights above	8.04	7.74	Tencent leads through data trust and governance.
Environmental-priority investor	E issues 55%, S 30%, G 15%	7.78	7.91	Alibaba leads if decarbonisation and circularity dominate.
Digital-trust investor	Privacy/product safety 60%, E 25%, G 15%	8.15	7.70	Tencent's lead widens when platform trust dominates.

The sensitivity test strengthens the methodology because it shows that the final ranking is not mechanical. Scenario weights are reallocated proportionally within each issue group based on the original FM × BE raw scores. Alibaba can overtake Tencent under a stronger environmental-priority lens, while Tencent's advantage widens under a digital-trust lens. Therefore, the rating is most useful as a structured comparison of ESG risk profiles rather than a single absolute truth.

4. Critical evaluation and limitations

This methodology is reliable because it separates materiality from scoring: FM and BE determine weights, while disclosure quality, performance metrics and controversy/risk control determine company scores. The stated scoring rubric, symmetric company comparisons and sensitivity test also make the ranking more transparent.

The main limitation is reliance on company-reported ESG information, meaning the scores reflect disclosed management quality rather than fully verified impact. The model is also not a full MSCI rating because it lacks MSCI's peer benchmarking, proprietary controversy database and complete governance sub-models. Since Chinese platform regulation changes quickly, the rating should be updated when new reports, regulatory actions or controversies arise.

Overall, Tencent scores slightly higher due to stronger evidence in digital trust and governance, while Alibaba performs better in environmental execution. Investors should not use the final score mechanically: Tencent is better positioned for platform-trust risks, whereas Alibaba is stronger in decarbonisation and logistics-resource-efficiency risks.

References

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